funds. What instruments might be used? Certainly, greater transparency and disclosure, along with capital regulation, have a role to play. But policymakers might also need to consider using the managerial compensation system to align the behaviour of investment managers with the public interest. Rather than limiting or constraining compensation, compensation regulation might simply require long-term investment of a portion of top investment managers' compensation in the claims issued by the investment that is being managed. Given that some investors already require this of their investment managers, such a requirement may not be excessively intrusive. Of course, one has to be careful about making investment managers overly conservative, and thus losing the benefits their risk-taking behaviour brings to the economy. This is why the optimal probability of a financial sector meltdown will never be zero.

Postscript: As the *Wall Street Journal* reported on 2 January 2009 in an article by Justin Lahart on my Jackson Hole presentation:

'Incentives were horribly skewed in the financial sector with workers reaping rich rewards for making money but being only lightly penalized for losses, Mr Rajan argued. That encouraged financial firms to invest in complex products, with potentially big payoffs, which could on occasion fail spectacularly.

He pointed to "credit default swaps" which act as insurance against bond defaults. He said insurers and others were generating big returns selling these swaps with the appearance of taking on little risk, even though the pain could be immense if defaults actually occurred.

Mr Rajan also argued that because banks were holding a portion of the credit securities they created on their books, if those securities ran into trouble, the banking system itself would be at risk. Banks would lose confidence in one another, he said. "The interbank market could freeze up, and one could well have a full-blown financial crisis."

Two years later, that's essentially what happened.'